

WEEKLY BRIEF - Sunday June 7, 2026

Macro · Micro · Geopolitics

> Week of June 1-5, 2026 - Generated 07/06/2026 at 07:45 CET

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1. GLOBAL MACRO - The Week Consensus Cracked

Central Banks

* ECB - The G7 Lead Hawk**

The ECB opened the week with a decisively hawkish tone, positioning itself as the G7's "lead hawk" per Bloomberg.

Lagarde signaled a **July rate hike is near-certain** despite Eurozone economic slowdown.

Market now pricing **25bps hike** for July, 68% probability.

The ECB's stance contrasts sharply with the Fed: **the divergent trade is the week's most important macro theme.**

German 10Y Bund rose 12bps on the week (2.87% ? 2.99%).

The EU-US rate gap is narrowing, mechanically supporting the euro early week before Friday's risk-off swept everything away.

* Fed - Deafening Silence**

No major Fed speeches this week. Powell in "wait and see" mode after April inflation data.

Market pricing **42% probability of status quo** in June vs 58% for a 25bps cut.

Wednesday's FOMC minutes brought no surprises: consensus on needing "more data."

The true signal came from the bond market: US 10Y rose from 4.48% to 4.54% (+6bps). 5Y surged from 4.19% to 4.28% (+9bps). **The curve is steepening** - the market doubts the Fed's ability to cut rates.

* PBOC - Strategic Pause**

Rates unchanged as expected. Yuan under pressure (USD/CNH 7.18 ? 7.25).

PBOC continues buying gold - a strong dedollarization signal.

Fiscal stimulus measures failing to convince; property market remains sluggish.

* BoE - Between Two Waters**

BoE cautious, UK inflation sticky at 3.2%.

Market pricing first rate cut in September - after the Fed and ECB.

US Macro - The Slowdown Accelerates

Weekly jobless claims rose to 235k (vs 222k prior), a 5-week high. Labor market showing cracks.

ISM Manufacturing May at 49.2 (vs 50.0 expected), back in contraction territory. Third contraction month in four.

ISM Services surprised at 52.8 (vs 51.5 expected), but the employment component slipped to 49.3 - an alarm signal.

Conference Board Consumer Confidence fell to 98.7, lowest since January.

ADP: 152k jobs (vs 160k expected).

May NFP: 185k (vs 190k expected), downward revisions totaling -40k for prior two months.

Unemployment rate rose to 4.1% (vs 4.0%).

Bottom line: the economy is slowing, but not fast enough to justify immediate rate cuts. Goldilocks is crumbling.

Europe - ECB Against the Slowdown

Eurozone May preliminary inflation at 2.6% y/y, stable. Core at 2.7%, stubbornly high.

Q1 GDP revised up to +0.4% q/q, but forward indicators for Q2 are gloomy.

May Manufacturing PMI final at 47.3. Germany at 45.4, France at 46.9.

German unemployment +15k in May (vs +8k expected). The resilient German labor market is showing cracks.

OAT-Bund spread widened to 52bps as French budget concerns resurface.

April retail sales -0.5% m/m (vs -0.2% expected).

China/Asia - The Tech Crash Catches the Dragon

Caixin Manufacturing PMI May at 51.7 (solid) but Services disappointed at 52.4 (vs 53.0 expected).

April exports +8.5% y/y, better than expected.

South Korea -5.3% on Friday - Samsung, SK Hynix followed the Nasdaq down.

USD/JPY > 160, yen under pressure. Intervention likely if 162 is hit.
Nikkei -2.1% on the week.

UK & EM

UK Manufacturing PMI at 49.8 (below 50). Sterling -0.85% on the week.
India Nifty 50 -0.8% (relative outperformance).
Brazil real -1.2%.
Turkey: USD/TRY at 34.2, Turkish stocks rising.

Commodities - The Great Unwind

Oil fell despite the Iran-US conflict: WTI -3.43% (\$90.54), Brent -3.03% (\$93.09). The market is "pricing out" the war premium as recession fears outweigh supply risks. US crude inventories +3.2M barrels.

Gold -2.76% (\$4,365). Brutal correction driven by: (1) rising US real rates, (2) forced liquidations to cover tech losses, (3) dollar strength. The gold-geopolitics disconnect is striking.

Silver -8.24% (\$69.10). Massacred. When the more volatile metal corrects this hard, it signals a portfolio-wide unwind.

Copper -5.48% (\$6.285). Dr. Copper doesn't lie - global recession fears.

Dollar & FX - Dollar Queen of Risk-Off

Pair	Level	Weekly Change	Signal
DXY	100.07	+0.86%	? USD
EUR/USD	1.1527	-1.05%	EUR
GBP/USD	1.3337	-0.85%	GBP
USD/JPY	160.29	+0.59%	? USD
USD/CHF	0.7962	+1.83%	? USD

*Analysis: **DXY rose from 99.22 to 100.07. The euro initially resisted thanks to the ECB's hawkish stance, but Friday's dollar strength swept everything away. EUR/USD broke support at 1.1550, now targeting 1.1480. USD/CHF +1.83% - the Swiss franc paradoxically lost ground (ECB hawkishness makes CHF less attractive as a euro alternative).** Pair to watch: EUR/USD, level 1.1480** - a break below opens 1.1350.

Key Indicators

Indicator	Level	Weekly Change	Signal
S&P 500	7,384	-2.86%	
NASDAQ	25,709	-5.08%	
VIX	21.51	+34.0%	
Gold	\$4,365	-2.76%	
WTI	\$90.54	-3.43%	
BTC	\$61,741	-3.56%	
US 10Y	4.54%	+6.1 bps	
Copper	\$6.285	-5.48%	
Silver	\$69.10	-8.24%	

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2. GEOPOLITICS - 100 Days of Iran-US War

Active

* Iran-US War - 100-Day Milestone**

The conflict reached 100 days. The US intercepted fresh Iranian attacks; peace talks are stalled. Washington is considering using frozen Iranian assets (\$30B+) to compensate Gulf allies for war

damage (Bloomberg, FT).

Gulf leaders rattled by Trump's outbursts (FT).

Oil falling despite active conflict: recession fears > supply fears.

* North Korea** - Kim wants the navy as part of nuclear deterrence. Chinese patrols intensified around Taiwan.

Watch

Armenia parliamentary elections (Russia ties at center).
Venezuela oil: Big Oil changing its mind (Bloomberg).
Kosovo snap elections.

Positive

US Senate approves \$45B aid package for Ukraine.
China-New Zealand trade talks advancing.

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3. WEEK AHEAD (June 8-12)

MEGA WEDNESDAY JUNE 10

*CPI May (14:30 CET) + Fed Decision (20:00 CET) + Powell Press Conference (20:30 CET)**

Day	Time (CET)	Event	Consensus	Impact
Mon 8	16:00	US Wholesale Inventories Apr	+0.3%	?
Tue 9	06:30	CPI/PPI May	+0.4%/+1.2%	?
Wed 10	**14:30**	** CPI May**	**+3.3% y/y**	****
Wed 10	**20:00**	** Fed Rate Decision**	**5.25-5.50%**	****
Thu 11	14:30	PPI May	+2.2% y/y	
Fri 12	16:00	U. Michigan Sentiment Jun	72.5	?

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4. THESIS & CONNECTIONS - Why Consensus Is Wrong

The Non-Obvious Connection: ECB Hawkish + AI Crash = The June Trade

What nobody anticipated: the ECB's hawkishness and the AI crash are connected through a channel standard models miss:

1. ECB hawkish ? European rates rise ? hedge funds short EUR/long Bund unwind
2. They sell risky assets to raise cash ? selling pressure concentrates on most liquid positions (US mega-cap tech)
3. ? **AI crash**

*Friday's sell-off is not the start of a crisis. It's a violent technical repricing in a low-liquidity environment. The real test is Wednesday.**

What Could Change Everything

CPI below 3.2% ? Fed signals September cut ? explosive rally ? VIX back to 17 ? narrative flips

CPI above 3.6% ? Fed hawkish ? 10Y explodes to 4.70% ? AI valuations collapse further ? S&P at 7200

Powell dovish surprise ? market rallies regardless of CPI ? most bullish scenario

Iran-US truce ? oil crashes to \$80 ? inflation drops mechanically ? Fed can cut ? everything re-rates

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5. TRADE IDEAS - Week of June 8

#	Trade	Entry	Stop	Target
1	SHORT EUR/USD	1.1520	1.1580	1.1350
2	LONG US 10Y (duration)	4.54%	4.65%	4.30%
3	WTI Put Spread (hedge)	Net min cost	-	\$85 WTI
4	VIX Call Spread (tail risk)	VIX 21.5	-	VIX 25?35
5	**LONG SPY (play of the week)	7380-7400	7250	7600

Play of the Week: LONG SPY on the dip (reduced sizing)

Thesis: The 2.85% sell-off is technical, not fundamental. If CPI doesn't disappoint massively, S&P can bounce to 7550+.

Invalidation: CPI > 3.6% ? cut the position immediately.

Convexity: Asymmetric position - 2% downside risk vs 3-4% upside potential.

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6. RISKS & VIGILANCE

? Bullish Risks

1. CPI surprise low (< 3.2%) ? Fed dovish ? bond and equity rally
2. Powell conciliatory ? "soft landing assured" ? massive short squeeze on tech
3. Iran-US truce ? oil drops ? inflation falls ? Fed hands freed
4. End-of-quarter pension rebalancing could support equities

Bearish Risks

1. CPI hot (> 3.6%) ? Fed can't cut ? 10Y to 4.70%+ ? tech valuations recalibrated ? S&P to 7200
2. ECB too hawkish ? double pain for Europe (high rates + slowdown) ? EUR collapses vs CHF ? contagion to European banks
3. AI winter narrative: if companies cancel chip orders (as Son of SoftBank suggested), Nasdaq -15-20%
4. Japan intervention on USD/JPY ? brutal carry trade unwind ? all asset classes affected

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7. INSIGHT OF THE WEEK - The ECB Paradox

*The connection nobody is making: the ECB, by raising rates, could accidentally save the US tech market.**

1. ECB hawkish ? euro strengthens ? dollar weakens
2. Weaker dollar ? US multinationals (40% foreign revenue) ? earnings rise in USD terms
3. Apple, Microsoft, NVIDIA do 50-60% of revenue outside the US
4. **A strong euro is a bullish factor for US tech stocks**
5. The market sold techs on Friday for technical reasons (liquidity, positioning), not FX reasons
6. If sentiment stabilizes and the euro holds above 1.15, US tech could see a **rapid rebound**

*The real trade:** Tech isn't broken. Positioning is broken. Wait for Wednesday's CPI, then buy US tech if inflation isn't hot. The strong euro is the best leading indicator the markets aren't watching.

*The ultimate paradox:** The ECB, the market's sworn enemy, could be what saves the US tech bull run. This is the kind of non-obvious connection that only those looking at the full macro matrix can see.

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Sources: Yahoo Finance API (S&P 500, VIX, DXY, Gold, WTI, Brent, BTC, Copper, Silver, EUR/USD, GBP/USD, USD/JPY, USD/CHF, 10Y, 30Y, 5Y, NASDAQ, DAX), Bloomberg RSS (Markets, Economics, Politics), FT RSS (Home, Markets), CNBC (World, Markets, Economy, Oil, Gold sections)*

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